HouseHQ

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Buying Property Through Your SMSF — Pros, Cons & What to Do

Northern Territory state notes included. Core rules are federal — read this before you do anything else.

Correct as at July 2026. General information only — this is NOT financial, legal, tax or superannuation advice, and nothing here should be read as a recommendation to acquire any specific financial product. SMSF property is a complex, high-stakes decision. Engage a licensed SMSF specialist adviser, an SMSF auditor, and a solicitor before proceeding.

⚠ Read This First: The Rules Are Changing on 10 August 2026

- [ ] **Understand new residential LRBAs are being banned.** On 23 June 2026, the Government struck a deal with the Greens to pass the Treasury Laws Amendment (Tax Reform No. 1) Bill 2026. As part of that deal, **Limited Recourse Borrowing Arrangements (LRBAs) entered into on or after 10 August 2026 can only be used to acquire *business real property*** — not residential property. If you're reading this after that date and hoping to borrow inside your SMSF to buy a residential investment property, **that door is now closed.**
- [ ] **Know what still works after 10 August 2026.** You can still: buy residential property **outright with existing fund cash** (no borrowing at all), or use an LRBA to buy **business real property** (commercial premises wholly and exclusively used in a business — including, in some structures, your own business premises).
- [ ] **Check whether you can still get in under the old rules.** If your SMSF **exchanges a binding contract before 10 August 2026** for a residential property, the new restriction generally doesn't apply even if finance is approved and settlement happens later — but this is a narrow, date-sensitive exception. Get this confirmed in writing by your SMSF specialist immediately if you're mid-transaction.
- [ ] **Don't rely on anything you've read elsewhere that predates June 2026.** A huge amount of "how to buy property with your SMSF" content online was written before this change and is now out of date on the single most important structural point.

Section 1 — How SMSF Property Investment Actually Works

- [ ] **Understand the two ways your SMSF can hold property.** (1) **Outright purchase** using existing fund balance — no debt, no bare trust needed. (2) **Limited Recourse Borrowing Arrangement (LRBA)** — the fund borrows to buy a single asset, which is held in a separate **bare (holding) trust** until the loan is repaid, and the lender's recourse on default is limited to that one asset.
- [ ] **Know the "single acquirable asset" rule.** An LRBA can only be used to buy one asset (or a collection of identical assets) per arrangement.
- [ ] **Understand typical LRBA lending terms**, where still available (business real property only, post-10 August 2026): interest rates around 6.6–7.9%, loan-to-value ratios commonly capped near 70%.

Section 2 — The Pros

- [ ] **Concessional tax environment.** Rental income and capital gains inside an SMSF are taxed at a maximum of **15%** in accumulation phase, dropping to **0%** in pension phase.
- [ ] **Forced diversification discipline.** Property held in super is quarantined from personal spending and other debts.
- [ ] **Asset protection.** Superannuation assets generally sit outside your personal estate for creditor purposes in most circumstances, subject to specific exceptions.
- [ ] **Direct control over a familiar asset class**, appealing to investors who understand property better than shares or managed funds.

Section 3 — The Cons (Read This Section as Carefully as the Pros)

- [ ] **Residential LRBA borrowing is now closed to new deals (from 10 August 2026)** — the leverage strategy that made SMSF property attractive to many investors is no longer available for new arrangements.
- [ ] **High setup and ongoing costs.** Bare trust establishment, SMSF-specific legal documentation, and specialist lending typically cost several thousand dollars upfront, on top of standard SMSF administration and audit fees.
- [ ] **You cannot live in it, and neither can family.** A residential property bought through your SMSF **cannot be rented to you, your relatives, or other related parties**, at any price — this breaches the in-house asset rules and sole purpose test.
- [ ] **Liquidity risk.** Property is illiquid; a fund needing to pay a pension or death benefit can struggle to raise cash without selling the property.
- [ ] **Concentration risk** in smaller funds, where one property represents a large share of total assets.
- [ ] **Division 296 tax now applies from 1 July 2026 for large balances.** An additional 15% tax applies to earnings on the portion of a member's Total Superannuation Balance between $3–10 million (30% total), and more above $10 million — both thresholds indexed, taxing realised (not unrealised) earnings under the final legislation. Illiquid property makes funding any such liability harder if your balance is approaching these thresholds.
- [ ] **You cannot use borrowed funds to improve the property** while a loan exists — repairs are fine, improvements are not, and the line between the two requires professional advice.
- [ ] **Complex, ongoing compliance burden** — annual independent audits, market valuations, related-party scrutiny, and sole purpose test compliance for the life of the investment.

Section 4 — Things to Do Before You Proceed

- [ ] **Get advice from a licensed SMSF specialist adviser first**, not last — confirm they hold the specific AFSL authorisation for SMSF property advice.
- [ ] **Confirm the sole purpose test is genuinely met** — no personal or family use, no collateral benefit to any member, ever.
- [ ] **Check your fund's investment strategy explicitly allows this**, in writing.
- [ ] **Understand related-party purchase restrictions** — your SMSF generally cannot buy residential property from a member, their relatives, or related entities. Commercial property can be purchased from a related party only at genuine arm's-length market value.

- [ ] **If pursuing an LRBA for business real property, set up the bare trust before exchanging contracts.**
- [ ] **Arrange SMSF-specific finance early**, given tighter LVRs and different serviceability assessments.
- [ ] **Budget for annual independent audit and market valuation requirements.**
- [ ] **Get landlord and building insurance in the trustee's name**, structured correctly for the fund/bare trust arrangement.
- [ ] **Model your fund's liquidity** before committing.
- [ ] **If your total superannuation balance is approaching $3 million, get specific Division 296 advice** — including whether the one-off cost-base reset election (assets held before 1 July 2026, fund-level opt-in via the 2026–27 annual return) is relevant.

Section 5 — Northern Territory-Specific Considerations

- [ ] **Understand the NT's genuine advantage for SMSF property holding: no land tax at all.** The Northern Territory is the only Australian jurisdiction with no general land tax — meaning your SMSF's ongoing state-level holding costs on an NT property are structurally lower than the same property anywhere else in Australia.
- [ ] **Note the NT also has no foreign buyer duty surcharge** — relevant if any fund member could otherwise be considered a foreign person for these purposes in another state.
- [ ] **Standard NT transfer duty still applies to SMSF property purchases** — remember the NT offers no general first-home-buyer-style duty concession to anyone, super fund or individual, so this isn't a change from what any other NT buyer pays.
- [ ] **Check whether the House and Land Package Exemption (HLPE) could apply** if your SMSF is buying via a single house-and-land contract from a registered builder — this isn't restricted to first home buyers and could give a full duty waiver, worth confirming with your SMSF solicitor.
- [ ] **Remember the NT's cooling-off period (4 business days) can be varied by agreement** — confirm with your SMSF solicitor exactly what applies to your specific contract, and ensure bare trust and finance arrangements (where still available) are ready before your trustee signs.
- [ ] **Engage an NT solicitor experienced specifically with SMSF/bare trust transactions** — correctly naming the trustee structure in the contract is a common error point.

Quick Reference — SMSF Property Snapshot (July 2026)

ITEM	DETAIL
New residential LRBAs	**Banned from 10 August 2026** — business real property only from this date
Existing LRBAs (pre-10 Aug 2026)	Not banned, can continue/be maintained
Max tax rate (accumulation phase)	15% on income and capital gains
Max tax rate (pension phase)	0%
Typical LRBA deposit required	30%+ (LVR capped near 70%, where still available)
Division 296 threshold	$3 million Total Super Balance (indexed), effective 1 July 2026
Related party residential lease	**Never permitted**, at any price
Related party purchase (residential)	**Not permitted** from a member/relative
Related party purchase (commercial)	Permitted at genuine arm's-length market value

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